

A-057



Roll No. 038

Total No. of Pages.: 04

21N505 /

B.Tech. II Sem Main/ Back (New Scheme) Acad. Session 2023-24

All Branch

**(2FY3-05) – Managerial Economics and Financial Accounting
Common to All Branches**

Time : 3 Hours

Maximum Marks: 70

Min. Passing Marks:

Instructions to Candidates:

Part – A: Short answer questions (up to 25 words) 10x2 marks = 20 marks. All 10 questions are compulsory.

Part – B: Analytical/Problem Solving questions 5x4 marks = 20 marks. Candidates have to answer 5 questions out of 7.

Part – C: Descriptive/Analytical/Problem Solving Design questions 3x10 marks = 30 marks. Candidates have to answer 3 questions out of 5.

Schematic diagrams must be shown wherever necessary. Any data you feel missing may suitably be assumed and stated clearly. Units of quantities used/calculated must be stated clearly.

Use of following supporting materials is permitted during examination. (Mentioned in form No. 205)

1_Simple Calculator_____

2_____

P.T.O.

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PART-A
(Attempt All)

- Q.1. Define economic problem.
- Q.2. Explain the concept of inflation.
- Q.3. What do you mean by demand schedule?
- Q.4. Explain law of demand.
- Q.5. Differentiate between explicit and implicit cost.
- Q.6. What is margin of safety in break even analysis?
- Q.7. Explain oligopoly market.
- Q.8. Explain different phases of business cycle.
- Q.9. Prepare Performa of trading and profit and loss account.
- Q.10. Differentiate between net profit and gross profit.

PART-B

(Attempt any five)

- Q.1. Define meaning and concept of managerial economics.
- Q.2. What do you mean by demand? Explain the types of Demand.
- Q.3. A firm has Fixed Cost of Rs. 10000/-, selling price per unit is Rs. 5/- and variable cost per unit is Rs. 3/-
- a. Determine Break Even Point in terms of unit and also in Sales Volume.
- Q.4. Define production function. Discuss in short the laws of returns with the help of diagram.
- Q.5. Define 'Cost'. How are costs classified? Explain any four important cost concepts useful for managerial decisions.
- Q.6. Define monopoly. Discuss the salient features of monopoly market structure.

Q.7. From the following particulars calculate the Current Ratio and Quick ratio

Particulars	Amount
Stock	140000
Sundry Debtors	280000
Cash	50000
Bills receivable	20000
Creditors	300000
Bank Overdraft	50000

PART- C

(Attempt any three)

Q.1. Dhruv is a sole proprietor having a provisions store. Following are the transactions during the month of January, 2022. Journalize the following entries and post them in ledger.

[5+5 Marks]

- | | | |
|--------|---|--------|
| (i) | Started business with cash | 80,000 |
| (ii) | Deposited cash with bank | 40,000 |
| (iii) | Purchased goods by paying cash | 5,000 |
| (iv) | Purchased goods from Lipton & Co. on Credit | 10,000 |
| (v) | Sold goods to Joy and received cash | 31,000 |
| (vi) | Paid salaries by cash | 5,000 |
| (vii) | Bought furniture by cash | 4,000 |
| (viii) | Paid electricity charges by cash | 1,000 |
| (ix) | Owner withdrew for personal use | 2,000 |
| (x) | Paid Salaries Expense | 2,000 |

P.T.O.

Q.2. The following data are given:

Fixed expenses	Rs. 1,00,000
Variable expense	Rs. 10 per unit
Selling price	Rs. 15 per unit

You are required to find out

- (i) Breakeven point in Rupees and in unit (2.5 Marks)
- (ii) Profit Volume Ratio (2.5 Marks)
- (iii) Sales to earn a profit of Rs. 10000 (2.5 Marks)
- (iv) Margin of safety, if sales amount is Rs. 5,00,000 (2.5 Marks)

Q.3. Explain the following:

- (i) Sole trader (2.5 Marks)
- (ii) Partnership (2.5 Marks)
- (iii) Joint Stock Company (2.5 Marks)
- (iv) State public enterprise (2.5 Marks)

Q.4. What is Perfect Competition? Describe its features. (10 Marks)

Q.5. What is meant by Ratio Analysis? Explain briefly about various types of ratios.

(10 Marks)
